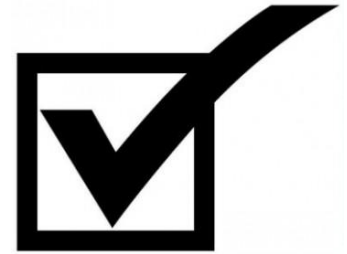




**BUSINESS
PROFESSIONALS**
of **AMERICA**
Giving Purpose to Potential



MANAGERIAL ACCOUNTING (135)

NATIONAL 2025

CONCEPT KNOWLEDGE:

Multiple Choice (10 @ 2 points each) _____ (20 points)

APPLICATION KNOWLEDGE:

Short Answer _____ (30 points)

Problem 1: Budgeting Problems _____ (50 points)

Problem 2: Capital Budgeting _____ (30 points)

TOTAL POINTS _____ ***(130 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice Questions

Directions: Identify the letter of the choice that best completes the statement or answers the question.

1.	D	6.	A
2.	B	7.	B
3.	C	8.	C
4.	D	9.	A
5.	B	10.	D

Short Answer (30 Points)

Grader: Each answer is worth 3 points. For #2 and #3, the number is worth 2 points and the U or F is worth 1 point.

1. Bernie's management has specified a 13% target rate of return.

	ROI	Residual Income
Professional Athletes Division	18.0%	\$125,000
Recreation Division	15.0%	\$130,800

2. Calculate the following variances and identify if each was favorable (F) or unfavorable (U).

Labor Rate Variance	\$189 U
Labor Efficiency Variance	\$1,071 F
Total Labor Spending Variance	\$882 F

3. Calculate the following variances and identify if each was favorable (F) or unfavorable (U).

Materials Price Variance	\$900 F
Materials Quantity Variance	\$1,200 U
Total Materials Spending Variance	\$300 U

Problem 1: Budgeting Problems (50 Points)**Grader: Each answer is worth 5 points**

A.

How much cash is expected to be collected in December?	\$330,000
What will be the balance in Accounts Receivable at the end of December?	\$430,000

B.

How many units should the company plan to produce in January?	52,500
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C.

How many grams of leather should be purchased in October?	19,800
How much should Tiger budget for October materials purchases?	\$227,700
The company pays for 60% of the purchases in the month of purchase, and 40% in the month following purchase. Accounts Payable at the end of September is \$66,000. How much will the cash payments be for October?	\$202,620
What will be the balance in Accounts Payable at the end of October?	\$91,080

D.

How many hours of direct labor should Twins budget for?	10,800
How much direct labor cost should Twins budget for?	\$129,600

E.

If Mr. Met. wants to have a minimum cash balance of \$20,000 at the end of each month. How much will he need to borrow at the end of April?	\$9,000
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Problem 2: Capital Budgeting (30 Points)**Grader: Each answer is worth 10 points**

What is the payback period of the investment?	3.35 years
What is the net present value of the investment?	\$34,242
What is the approximate internal rate of return of the investment?	15%